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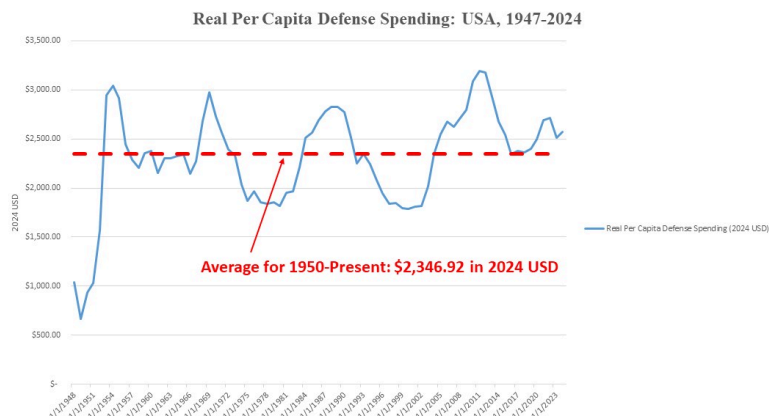
US Budgetary Profligacy and Indiscipline as National Security Threats

By Nicholas Eberstadt | Patrick Norrick

AEIdeas

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Earlier this week we posted [an article on long-term trends in US defense spending](#). Surprisingly, we found that inflation adjusted per capita defense expenditures have remained essentially unchanged over the postwar era—fluctuating a bit of course, but basically holding steady from 1950 through 2024.



Source: Office of Management and Budget, Historical Tables, "Table 3.1—Outlays by Superfunction and Function: 1940-2029", *National Defense as Percentage of GDP*, <https://www.whitehouse.gov/omb/budget/historical-tables/>
U.S. Bureau of Economic Analysis, Real gross domestic product per capita [A939RX0Q0485BEA], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/A939RX0Q0485BEA>, October 10, 2024.
U.S. Bureau of Economic Analysis, Gross Domestic Product: Implicit Price Deflator [GDPDEF], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/GDPDEF>, November 25, 2024.

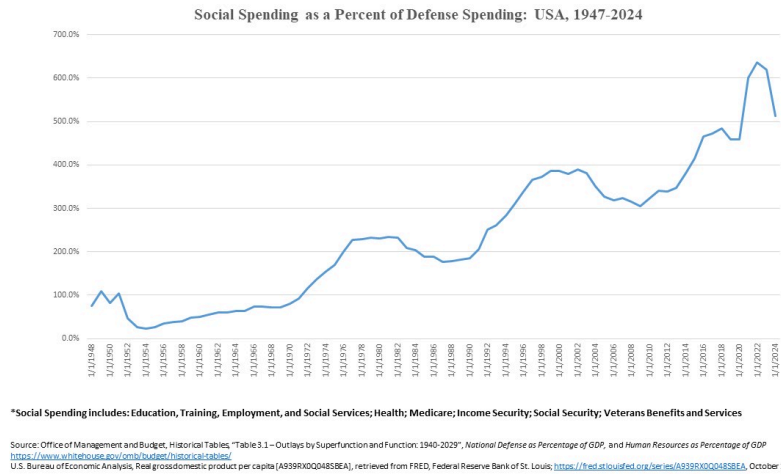
From just before the Korean War to the present, overall defense and national security allocations averaged a little under \$2400 per person (in constant 2024 prices). In other words, for the past three generations Americans have been spending an average per person of about \$6.50 a day on national defense: less than the [cost nowadays](#) of a Big Mac with Fries and a Coke. So why do so many seem to think the US cannot “afford” greater defense allocations in the face of today’s [increasingly menacing international security environment](#)?

It is no secret that budgetary profligacy plagues Washington: total debt held by the public was [an estimated](#) 100 percent of GDP in 2024, while the US continues to run high deficits during a peacetime economic expansion. Both political parties bear direct responsibility for this mismanagement. Polarized as Washington may be nowadays, fecklessness in tax and spending policies is one area where it always comes together in bipartisan consensus.

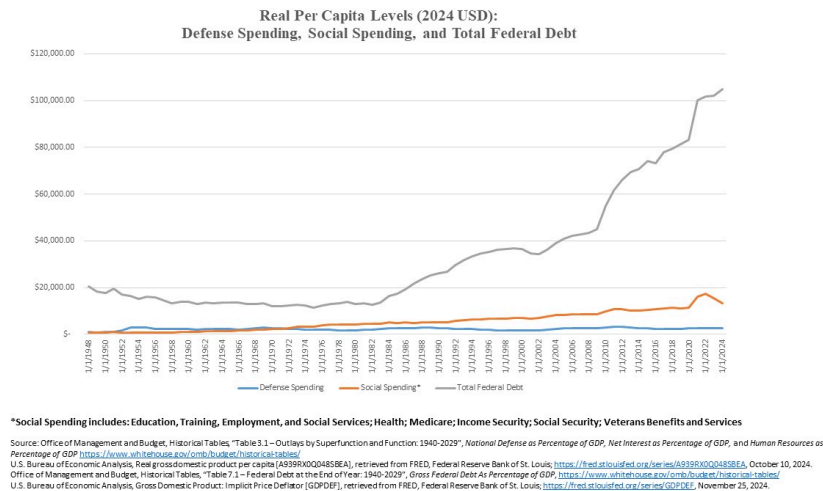
Nowhere is that bipartisan agreement more evident than in the refusal to touch entitlement spending. For decades, national defense spending has been getting “crowded out” of the federal budget by spending on Social Security, Medicare, Medicaid, and other forms of “mandatory” social spending. The dysfunctional dynamic, indeed, is a textbook illustration of what economists would call a “public choice” problem.

In contrast to these mandatory entitlement programs, defense spending is legally defined as “discretionary”—i.e., optional—and can always be altered in the course of the regular annual budgeting.

Guess what that has meant in practice. The chart below provides a clue:

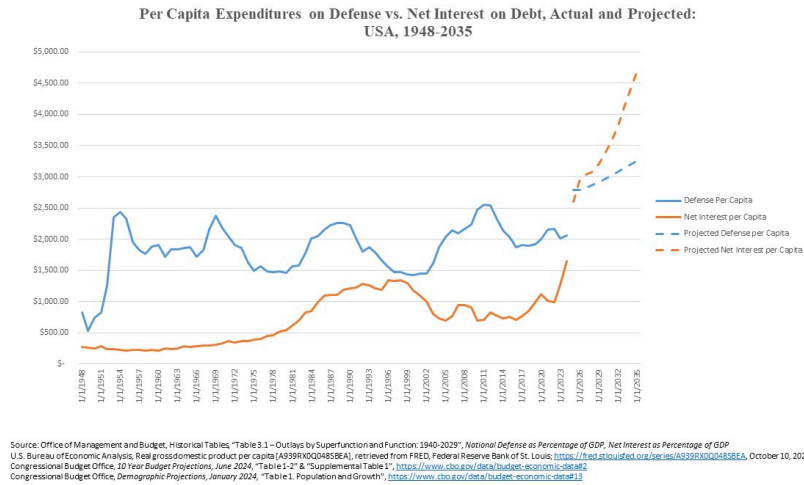


The last time defense spending exceeded social spending in Washington was during Nixon’s first term, over half a century ago. By the Carter years, Washington was spending over twice as much on social programs as defense. By Clinton’s second term, the ratio was nearly four to one. In 2022, the tail end of the Covid pandemic and the first full year of Biden’s Presidency, that ratio exceeded six to one. (Today it is down to “only” five to one.)

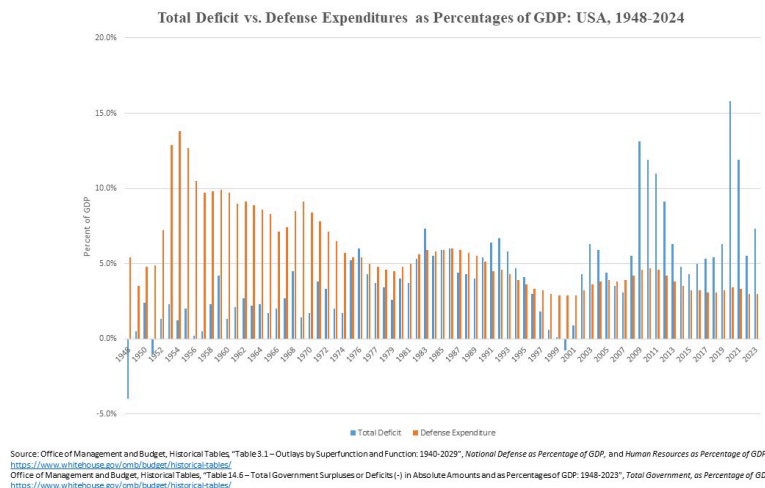


But social spending constitutes only one category of “mandatory” federal spending. The other is interest payments on the national debt. For over four decades, Washington has relied—increasingly—on the contrivance of financing its current spending (i.e., growing entitlements) through long term borrowing—aka budget deficits. While this method of financing high levels of spending may have

provided a temporary reprieve for the taxpayer, the hangover will be severe—all the more so now that interest rates may be rising back to historically precedented levels.



In 2025, for the first time in US history, America will be paying more for servicing the national debt than for national defense—and net interest payment are projected to overshadow defense expenditures through 2035—i.e., over the next two Presidencies. This uncomfortable truth is hastened by the fact that deficits have exceeded defense spending almost every year over the past two decades.

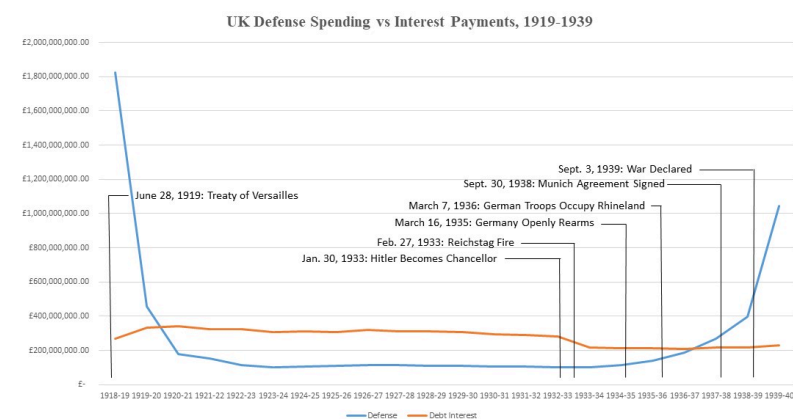


Despite these trends, it is not uncommon to hear in public discourse that defense spending (including funds allocated to Ukraine) should be cut for the sake of budgetary restraint. The belief that defense spending is the root of our budgetary

woes is not only specious, but it fails to take the dangers of today's world seriously. [Historian Niall Ferguson warns that](#) "Any great power that spends more on debt service... than on defense will not stay great for very long". The example of interwar Britain is instructive.

Between Versailles and Danzig, the UK consistently spent more on servicing its national debt than on re-armament—even after Hitler had come to power in Germany.

Britain's budgetary vise actually reinforced its wrongheaded appeasement policy toward Nazi Germany—excusing the expedience of skimping on defense under the convenient illusion that the Third Reich was an appeasable power. Thinking anything else would have been fiscally painful for such a highly indebted government.



Source: *Office for Budget Responsibility*, "300 years of UK public finance data", Historical public finances database, <https://articles.obr.uk/300-years-of-uk-public-finance-data/index.html>

How would Athens have fared, we must wonder, if Themistocles had not persuaded the Athenians to spend a budgetary surplus on building up their navy rather than by distributing ten drachmas to each citizen? Had Athens prioritized social spending over defense, as they initially intended to, Greece might have been entirely subjugated to the Persian Empire in 480 BC.

Let these lessons of history not be lost on us. And let the new Administration have the wisdom to learn from them. It is past

time for foreign and defense policymakers to recognize their country will not be safe unless its public finances are, too.

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